

Contents

1 - Tokenized bond — register + issue (T0/T1) 2

2 - Tokenized bond — free transfer (T2) 3

3 - Tokenized bond — register payout key (T2b) 4

4 - Tokenized bond — scheduled transformation (T3) 5

5 - Tokenized bond — deadline graduation (T4) 6

1 - Tokenized bond — register + issue (T0/T1)

One transaction registers the CIP-113 instance and mints the first tokens to the beneficiary, publishing the bond’s terms as a CIP-68 reference datum.

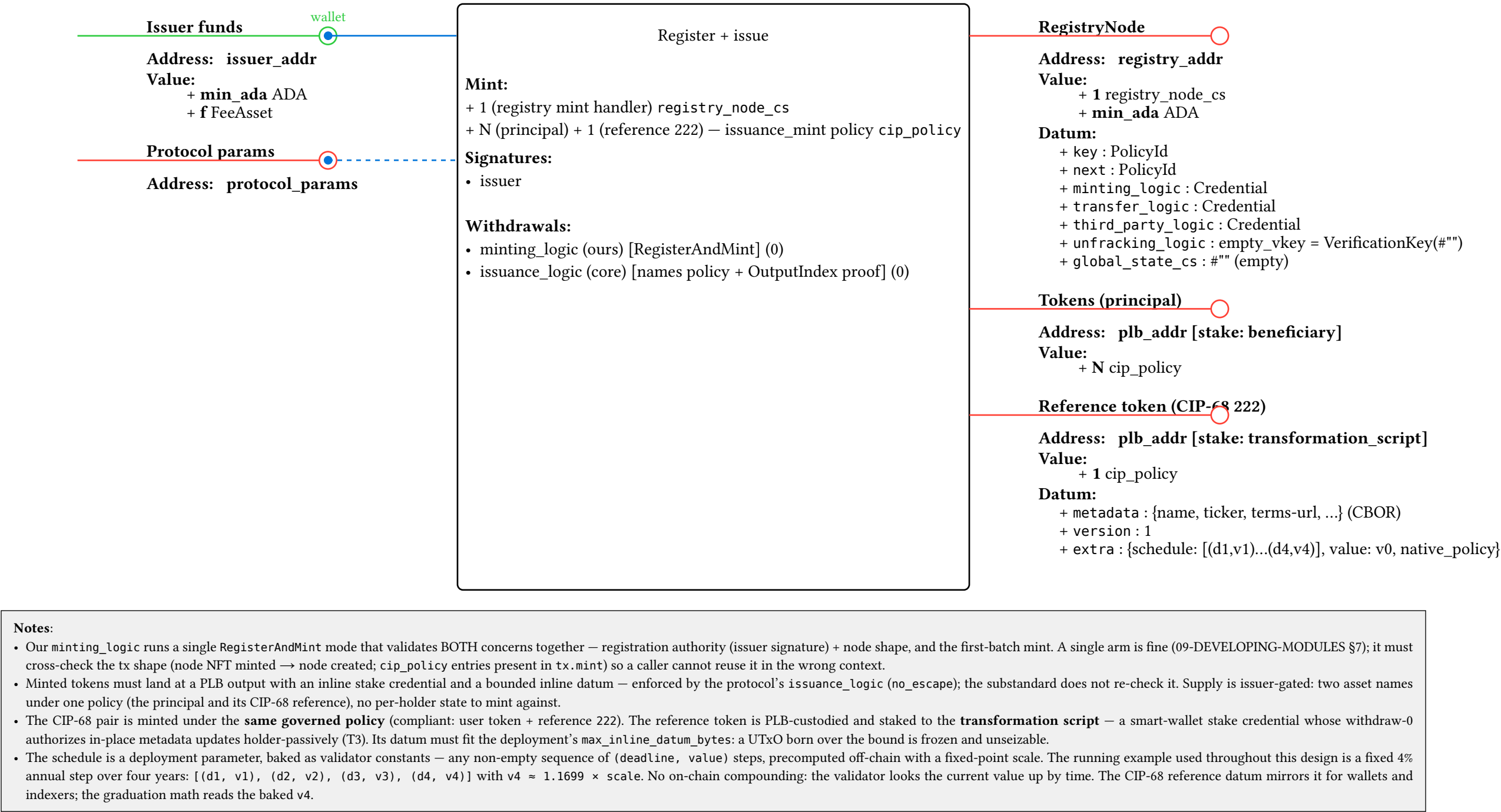


Figure 1: Atomic register + first issue

2 - Tokenized bond — free transfer (T2)

The owner can transfer the token freely at any point in its life — before and after the deadlines. A transfer never gates who may hold or send it.

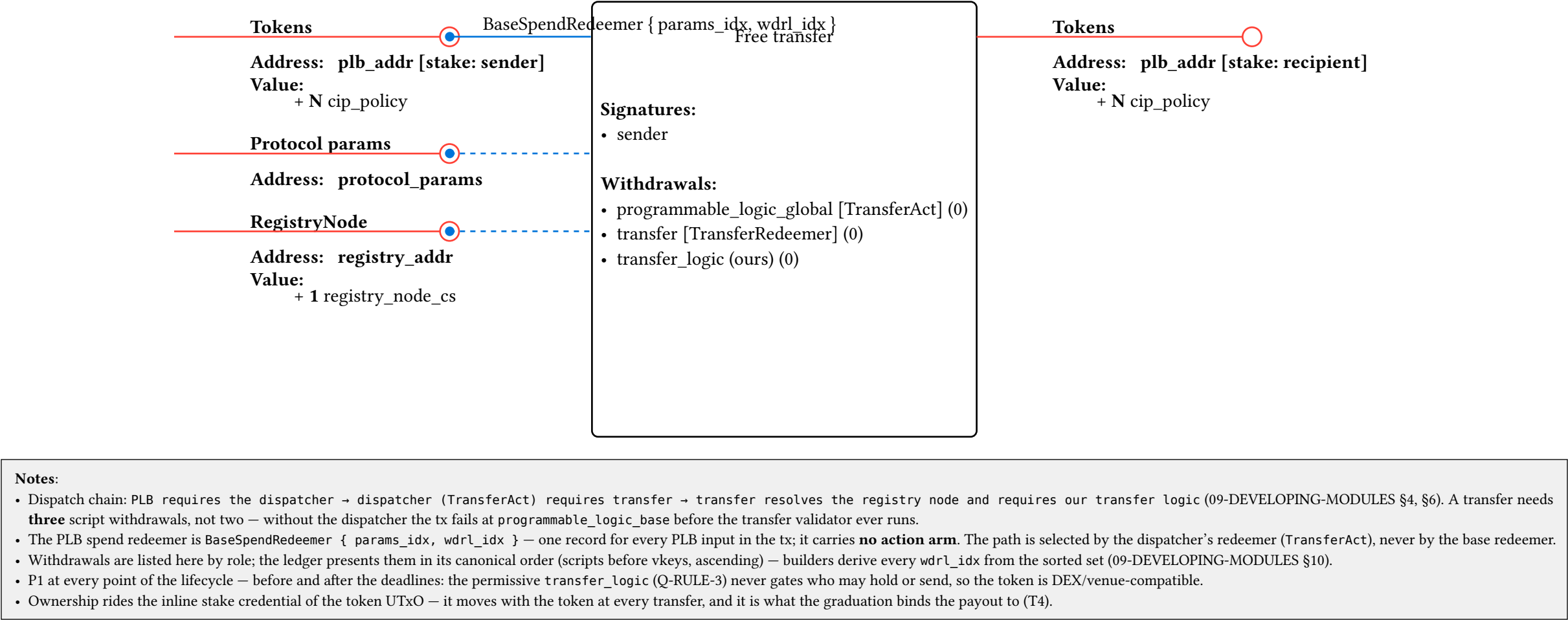


Figure 2: Free transfer before or after the deadlines

3 - Tokenized bond — register payout key (T2b)

A special case of the transfer: the owner spends the token to themselves and writes a payment credential into its datum. This is the opt-in that lets someone else (typically the issuer) graduate the token later without being able to redirect the payout — only the owner, by signing this transfer, can set it. An owner who intends to sign their own graduation (T4) never needs this.

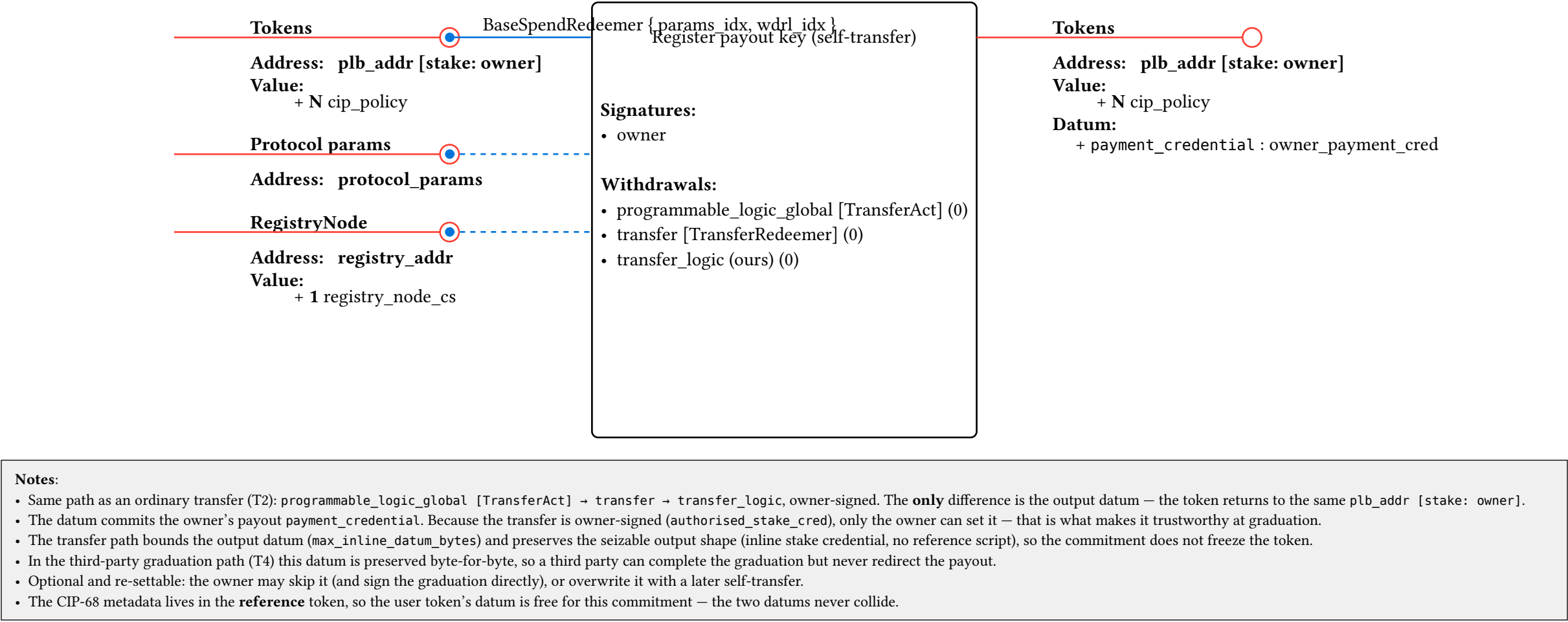


Figure 3: Register payout key via owner-signed self-transfer

4 - Tokenized bond — scheduled transformation (T3)

At each deadline the bond’s recorded value steps to the schedule’s next value (4% in the example schedule): the CIP-68 reference token’s datum is rewritten **in place**. The reference token is staked to the **transformation script**, so its *withdraw-0* authorizes the *spend* — no holder, no issuer, no signature; anyone can submit it.

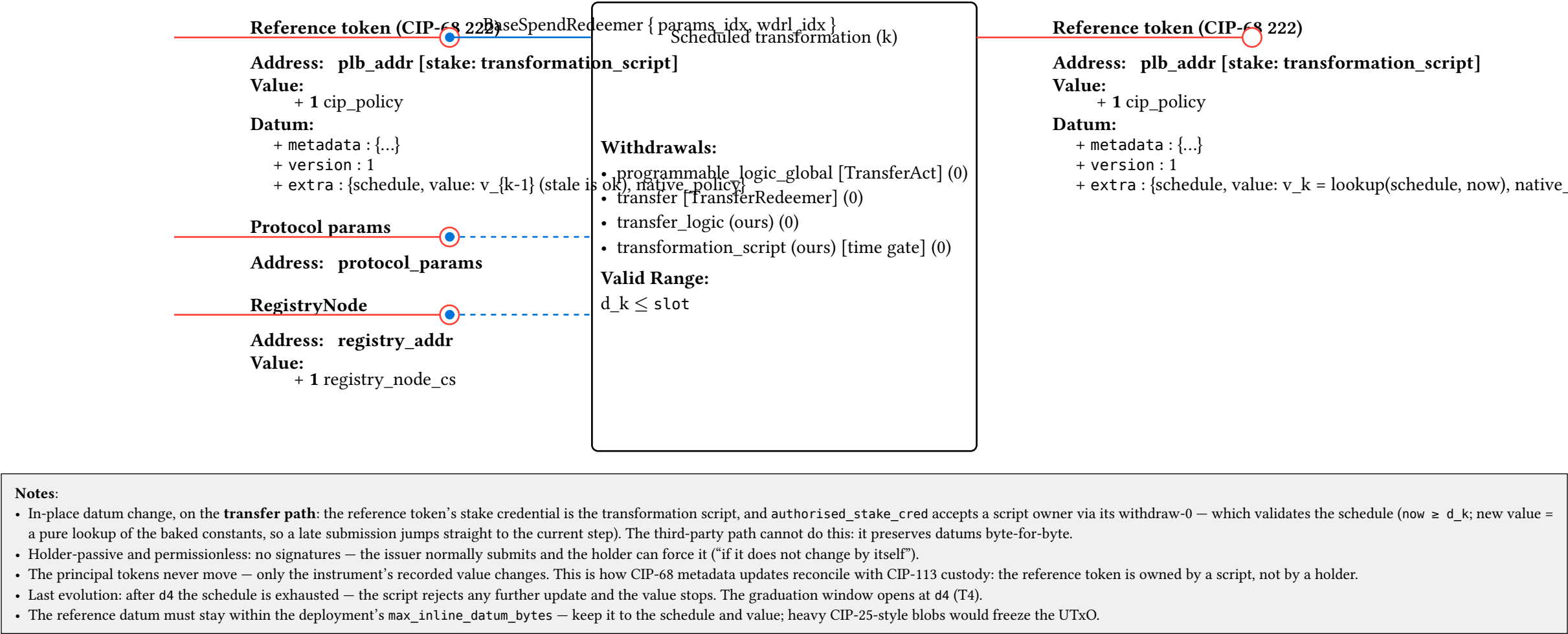


Figure 4: Scheduled value transformation (example +4%, in-place, holder-passive)

5 - Tokenized bond — deadline graduation (T4)

From $d4$ on the tokens **may** convert into the corresponding native asset at the schedule's final value — graduation is opt-in, never forced. It is allowed only when the payout destination is owner-authorized: the owner either signs the graduation and names the address, or has pre-committed a payment credential into the token's datum on an earlier owner-signed transfer (T2b). Without one the transaction is rejected — there is no fallback, because a native asset sent to the wrong spending key is unrecoverable. A holder who never opts in simply keeps the (now non-transforming) token.

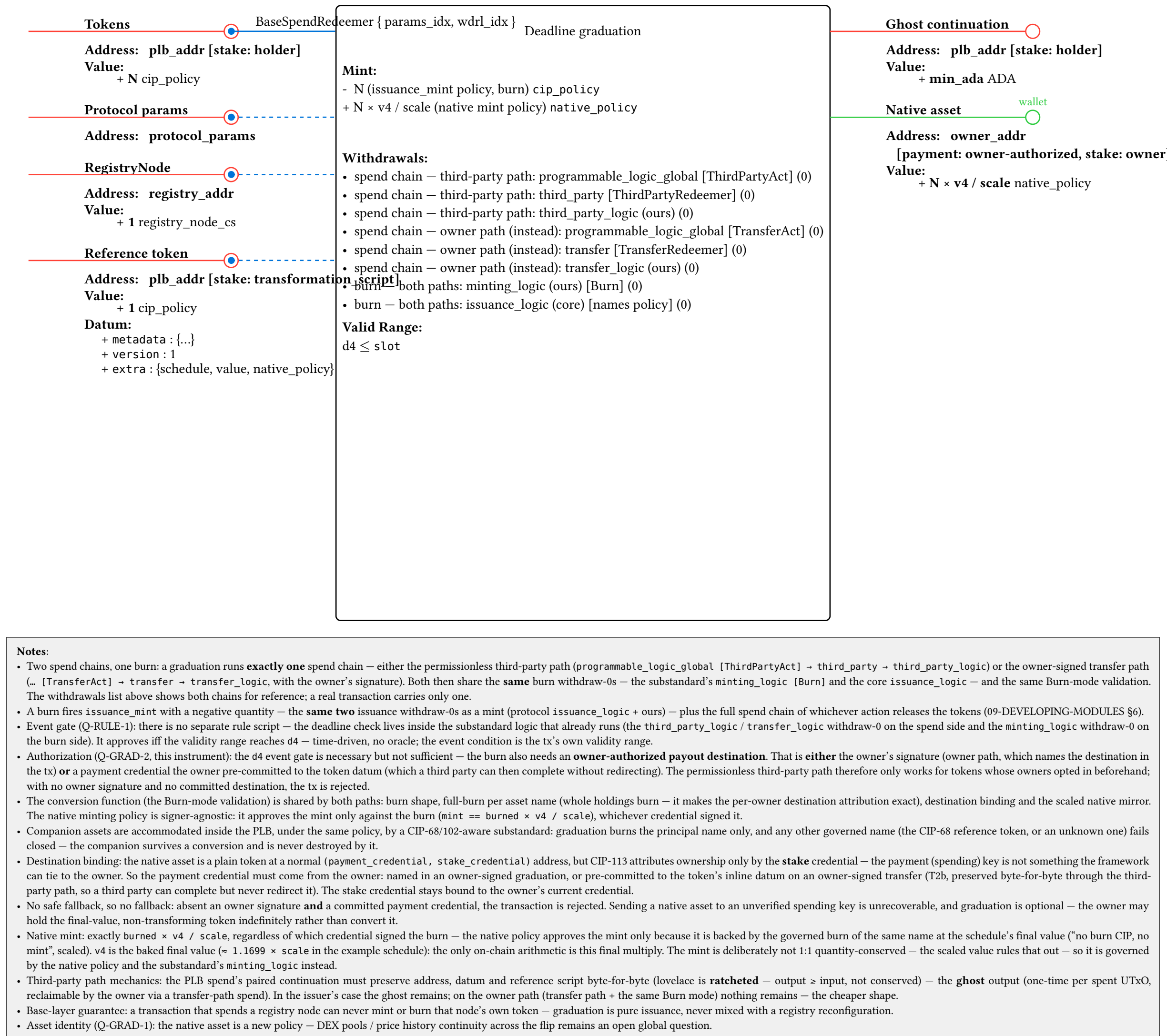


Figure 5: Deadline graduation (opt-in, value-preserving)